

THE CHALLENGE REMAINS

► Legacy subscribers who may not have UAN or have a mismatch in KYC details continue to face problems

► EPFO's passbook portal remains unstable with members often unable to access it

► Claim settlement often remains a task, and they have to go to private agents

► Implementation of higher pension still awaited

► EPFO needs to use more technology to meet growing scale



WHAT'S MISSING

Experts say along with this, the EPFO must also address existing problems such as the challenges faced by legacy workers, who still have to manually submit forms due to a lack of UAN or Aadhaar seeding.

CBT member Damodaran calls this the biggest challenge. "Several legacy account holders do not have UANs for previous employment and their KYC is not verified. The EPFO needs to quickly solve this issue so that they too can use online services for withdrawals, transfers, etc. Several such legacy subscribers and employers often depend on private PF agents or brokers to resolve these problems and access their PF money," he says. The subscribers who do not have UAN (started in 2014) for previous jobs and have not

transferred their accounts or done Aadhaar-UAN linking are unable to access the online services.

New Delhi-based professional Vivek Kumar (name changed) continues to hold two PF accounts from previous jobs as he does not have a UAN. The busy professional is not sure how to transfer the accounts or generate a UAN and who to approach for a redressal as HR executives at his previous company have also changed.

Gupta of EY India notes there are practical problems that still stall claims of some subscribers. "For instance, whenever there is a mismatch between Aadhaar and UAN, claims require manual applications. We have seen cases where death claims, transfers and settlements have been delayed due to this," he says. Similarly, employees from some organisations are unable to see the interest credited into their accounts for FY24. The issue of higher pension decided by the Supreme Court is also yet to be fully resolved, and the EPFO is rejecting the applications for various reasons, he says.

CBT member Karumalaiyan also underlines that it is difficult for people to get their money if their UAN and Aadhaar are not linked. "Imagine the condition of poor workers who would not have the means to get this rectified easily and would have to run from pillar to post. The implementation of higher pension is also an issue for pensioners, who are still awaiting clarity," he says, adding that the EPFO's technology upgrade must look into all such issues. Transferring a PF account in an exempt or private PF trust to the EPFO can also be a difficult task and requires a lot of paperwork.

The EPFO expects several of these problems to be sorted out as these new services become popular and the proposed reforms take shape. For legacy workers, the EPFO says that the new Facial Authentication Feature will be useful for generation of UAN and transfer of accounts. Similarly, work on higher pension is under way and will be completed soon. It is also planning a meeting of the CBT, the apex decision making body, later in May or June to apprise them of the reforms undertaken and the plans under EPFO 3.0.

This is perhaps the first time that the EPFO is undertaking such a comprehensive set of reforms with support from stakeholders. Improving the lives of its subscribers will go a long way in bringing back trust in the institution, which is seen to be among the top pension funds in the world due to its size and corpus. **BT**

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